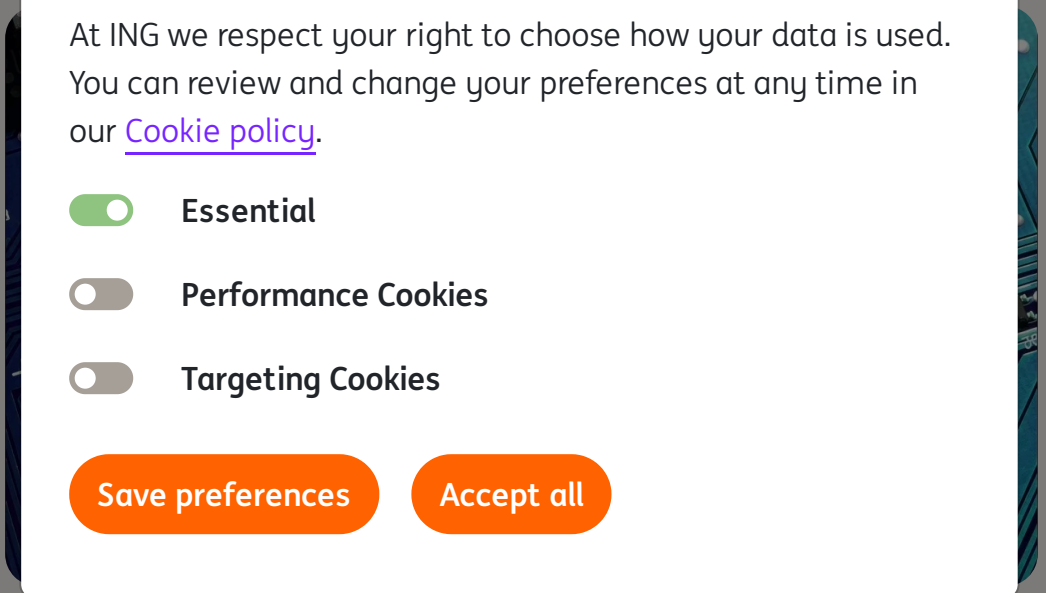
Our base case assumes solid growth, cooling inflation and the Fed hiking once more as Middle East tensions subside. However, if President Trump feels constrained after the midterm elections and hawks within the Administration push for more aggression on Iran, we will face a very different economic outlook. Our bold call envisages an AI revolution



J



AI investment could supercharge US economic growth

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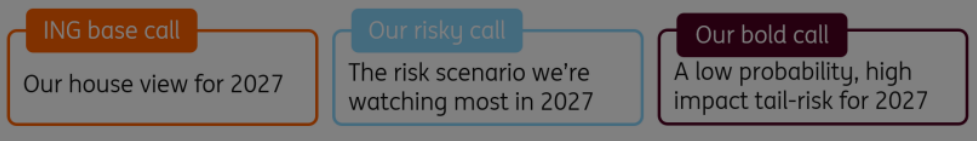
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How to read our three calls for 2027



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ING's base call: Solid growth and cooling inflation remains our call

We continue to expect respectable US growth of 2-2.5% over the next couple of years, but with ongoing bifurcation. Wealth gains are supporting spending among higher-income households, while weaker wage growth is pressuring middle- and lower-income households.

Within business investment, tech-related capex shows little sign of slowing, but appears to be cannibalising investment spending elsewhere and is contributing to the low-hire, low-

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Our risky call: Constrained Trump goes all-in for regime change in Iran

With President Trump constrained by a Democratic-led Congress, foreign and trade policy remain key sources of risk to our base case. For example, Iran hawks within the Administration could convince him that diplomacy won't work, meaning regime change in Iran is required. Disruption in the Gulf would then intensify, with energy prices spiking. At the same time, President Trump could demand NATO involvement, applying onerous tariffs on imports from members that refuse to participate in the conflict with Iran.

In this scenario, rising inflation could prompt the Fed to raise rates above 5%. Government borrowing would rise on military spending, but Treasury yields would be held down by 'safe-haven' buying as equity markets plunge. Recession risks would then mount through demand destruction as unemployment climbs. Iran would eventually be weakened sufficiently that attacks cease and energy flows resume. Oil, natural gas and fertiliser prices would then subside, with inflation falling rapidly. Monetary policy would be eased aggressively, but it would be too little, too late to prevent a painful downturn for the global economy.

Our bold call: Party like it's 1999? US growth hits 5% in 2027

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projections and lower inflation prompt Treasury yields to plunge. The Fed cuts rates while mortgage rates drop below 4%, triggering a recovery in the residential property market. The economy booms broadly, with equity markets soaring to new highs.

US | Growth | Federal Reserve

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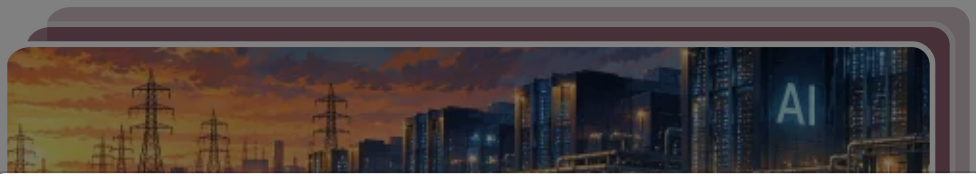
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